



Renko Strategy Backtesting Report

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1. Strategy Summary

Strategy Name	Asset Type	Timeframe
Renko Trading Strategy	C:XAUUSD	1D
Backtest Period	Primary Indicators	Entry-Exit Logic
2015-03-26 to 2025-03-28	Renko Bricks	Buy: New up brick after down brick Sell: New down brick after up brick
Initial Capital	Commission per Trade	Slippage
\$1000000.0	0.0%	0.0%
Capital Allocation	Exit Methodology	Optimal Brick Size
Full Account Balance	Strategy-Based (No Stop Loss)	8.21

Note: All performance metrics in this report are based on the optimal brick size that yielded the highest return during testing.

2. Performance Metrics

Total Trades	Win Rate	Profit/Loss	Profit Factor
295	38.98%	\$117823.70 (117.82%)	1.33
Max Drawdown	Sharpe Ratio	Risk:Reward Ratio	Avg Holding Time
17.38%	0.62	N/A	272.87 hrs
Expectancy per Trade			
\$0.30			

3. Renko Strategy Analysis: Insights & Recommendations

Key Insights

Optimal Brick Size is Critical: Brick size 8.21 delivered highest returns (**117.82%**) with balanced risk (**17.38% drawdown**), significantly outperforming all other tested sizes.

Strong Trend Capture: Strategy effectively captures extended trends (**max 46 consecutive up bricks vs 20 down**), with bullish moves typically lasting longer than bearish ones.

Recent Performance Consistency: Strategy generated profits in 5 of 6 recent months (**Oct 2024–Mar 2025**), with **February 2025** showing strongest results (**66.67% win rate, \$10,759 profit**).

Favorable Win-to-Loss Profile: Despite modest win rate (**38.98%**), winning trades (**+2.69%**) significantly outperform losing trades (**-1.23%**), creating positive expectancy and **1.33 profit factor**.

Recommendations

Implement Adaptive Brick Sizing:

Combine ATR and price-based approaches to dynamically adjust brick size to changing market volatility conditions.

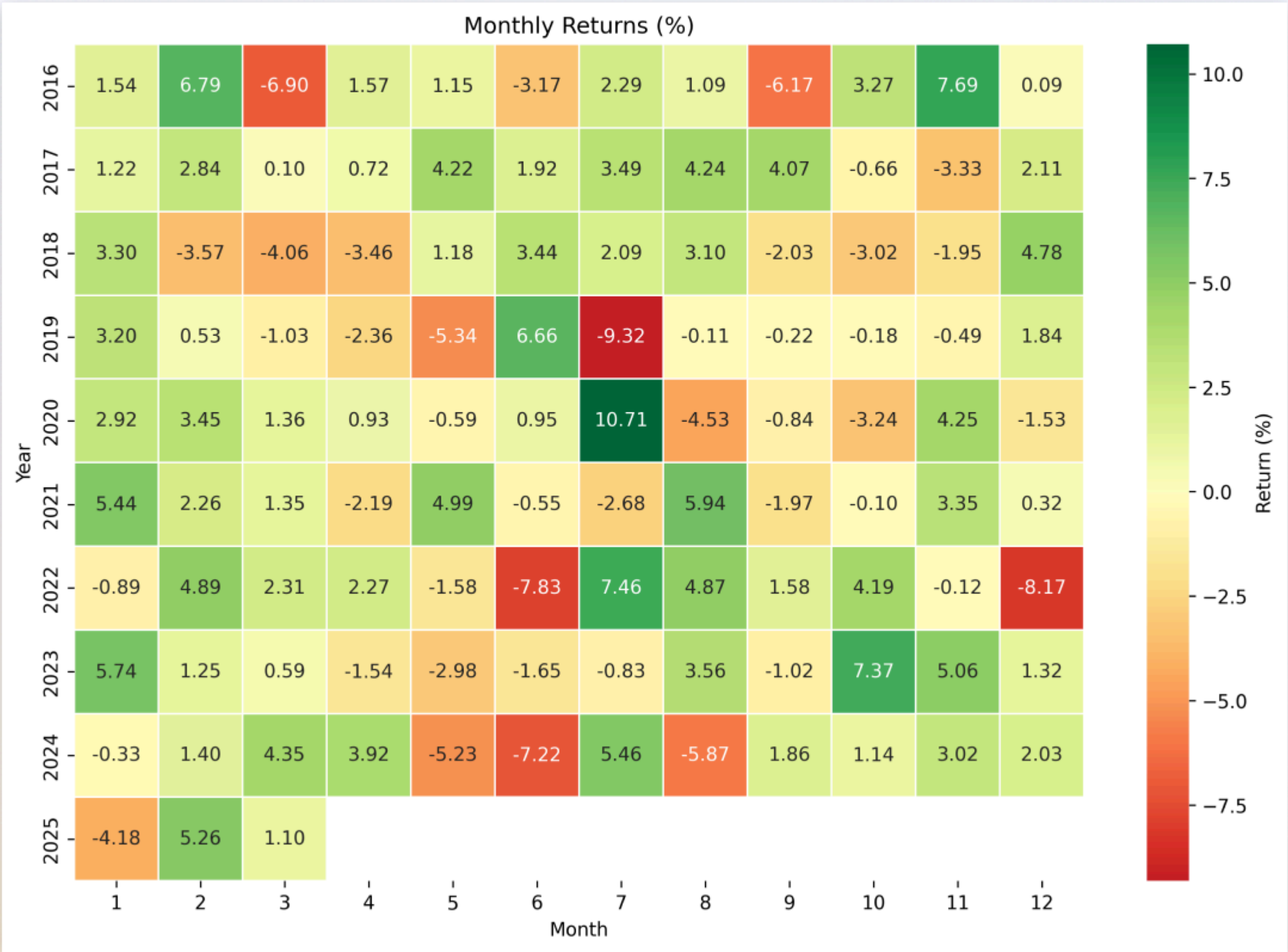
Add Position Sizing Controls:

Implement percentage-based position sizing (2–3% risk per trade) to better manage consecutive losses and reduce drawdowns.

Explore Multiple Timeframe Confirmation:

Add higher timeframe trend analysis to improve entry timing and increase win rate by filtering out counter-trend signals.

4. Monthly Returns Heatmap



5. Period Performance Breakdown

Period	Trades	Win Rate	P/L	Drawdown
Mar 2025	6	50.00%	\$2377.14	2.21%
Feb 2025	3	66.67%	\$10759.17	2.24%
Jan 2025	7	28.57%	-\$8923.58	4.25%
Dec 2024	3	66.67%	\$4244.19	2.47%
Nov 2024	5	40.00%	\$6138.52	4.69%
Oct 2024	6	33.33%	\$2282.97	2.26%

6. Detailed Trade Statistics

Metric	Trades
Total Trades	295
Winning Trades	115 (38.98%)
Losing Trades	180 (61.02%)
Largest Winning Trade	\$23883.85 (18.60%)
Largest Losing Trade	-\$5419.32 (-3.57%)
Average Winning Trade	\$4084.13 (2.69%)
Average Losing Trade	-\$1954.73 (-1.23%)
Average Trade	\$399.40 (0.30%)
Maximum Consecutive Winners	7
Maximum Consecutive Losers	9

7. Risk & Return Metrics

Metric	Value
Annualized Return	8.08%
Volatility	12.58%
Sharpe Ratio	0.62
Sortino Ratio	0.92
Calmar Ratio	0.47
Maximum Drawdown	17.38%
Average Drawdown	6.07%
Maximum Drawdown Duration	398 hrs
Recovery Factor	4.20
Profit Factor	1.33
Expectancy	\$0.30
System Quality Number (SQN)	2.59

8. Trade Duration Analysis

Metric	Value
Average Trade Duration	272.87 hrs
Shortest Trade	24.0 hrs
Longest Trade	2856.0 hrs
Average Time Between Trades	273.71 hrs

9. Brick Size Optimization

Optimization Methods

We tested the following brick size optimization methods:

- *ATR-Based: Uses multiples of Average True Range*
- *Volatility-Based: Uses market volatility to determine brick size*
- *Price-Based: Uses percentage of average price*
- *Fixed Range: Tests a range of predetermined brick sizes*
- *Adaptive: Combines ATR and price-based methods*

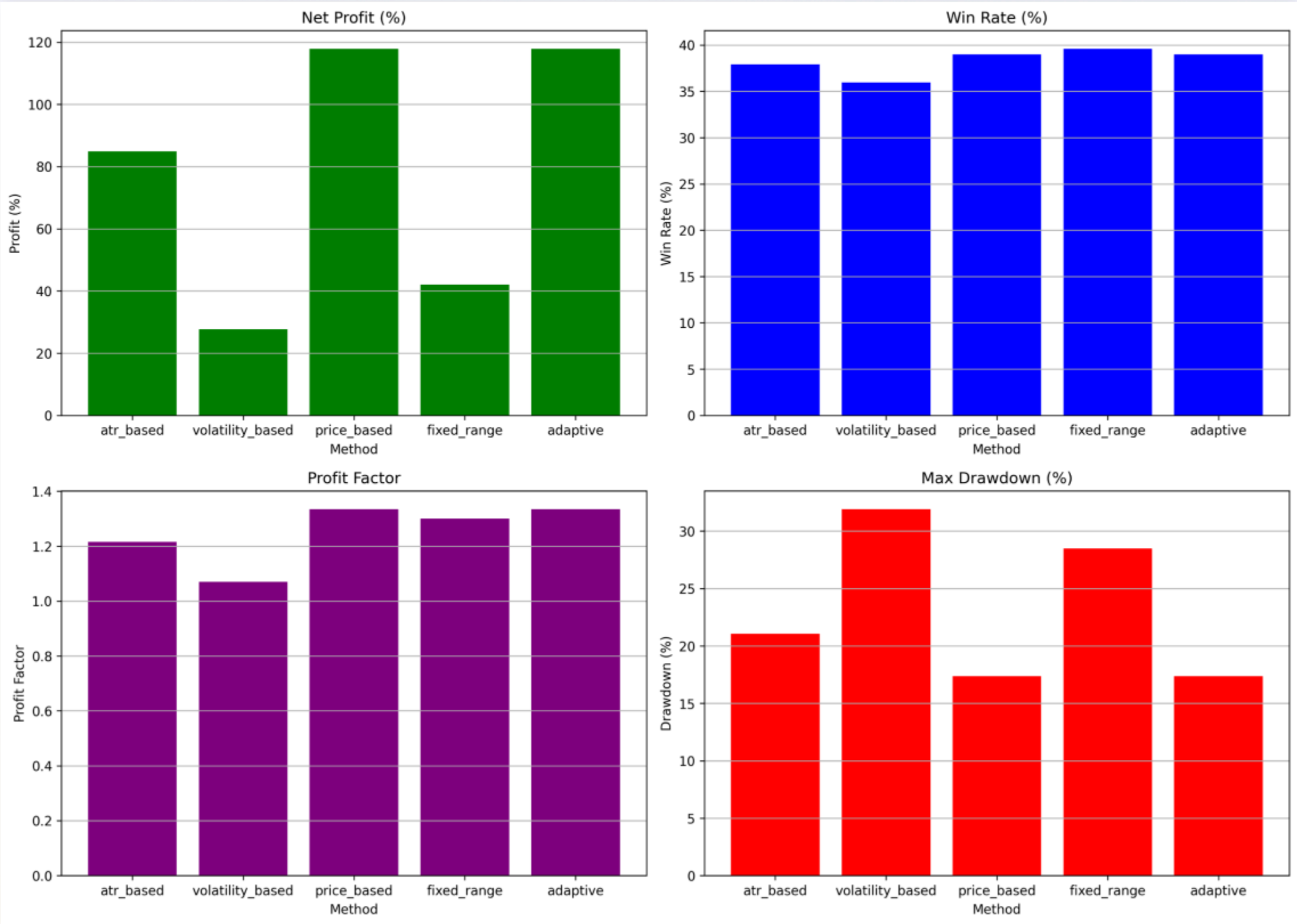


Brick Size Optimization

Optimization Results

Brick Size	Net Profit (%)	Total_trades	winning_trades	Win Rate (%)	Profit Factor	Max Drawdown	Max_drawdown_pct
2.08	-8367.73	851	316	37.13278	0.979626	36481.13	32.18008
8.21	117823.7	295	115	38.98305	1.334868	28074.3	17.38222
22.46	7194.604	86	31	36.04651	1.063378	32595.97	29.80591
38.75	41739.45	37	18	48.64865	1.405866	39494.07	22.84888
40.8	16830.88	39	17	43.58974	1.158434	45332.73	30.75901

Brick Size Optimization



10. Renko Brick Analysis (Using Optimal Brick Size)

Brick Analysis	Value
Average Up Bricks Before Down	6.69
Average Down Bricks Before Up	5.26
Maximum Consecutive Up Bricks	46
Maximum Consecutive Down Bricks	20
Average Brick Duration	69.07 hrs

11. Trade Log Sample

Entry Date	Exit Date	Direction	Entry Price	Exit Price	Profit/Loss (%)	Duration	Brick Size
2016-01-21	2016-02-15	long	1100.56	1207.77	9.74%	600.00 hrs	8.21
2016-02-15	2016-02-18	short	1207.77	1231.02	-1.93%	72.00 hrs	8.21
2016-02-18	2016-03-14	long	1231.02	1236.14	0.42%	600.00 hrs	8.21
2016-03-14	2016-03-16	short	1236.14	1258.78	-1.83%	48.00 hrs	8.21
2016-03-16	2016-03-23	long	1258.78	1221.92	-2.93%	168.00 hrs	8.21

**The remaining detailed Excel file will be shared accordingly.*

12. Glossary of Terms

- **Profit Factor:** Gross profits divided by gross losses
- **Sharpe Ratio:** Measure of risk-adjusted return
- **Maximum Drawdown:** Largest peak-to-trough decline in account value
- **Win Rate:** Percentage of trades that were profitable
- **Expectancy:** Average amount you can expect to win or lose per trade
- **System Quality Number (SQN):** Measure of system robustness
- **Renko Brick:** Price movement representation that filters out minor price changes
- **Brick Size:** The amount of price movement required to draw a new brick
- **ATR (Average True Range):** A measure of market volatility